

EMERGING ETHICAL ISSUES IN MANAGEMENT

Navigating the 2026 Corporate Minefield

Agenda: Our Journey Today



AI & Governance

From hallucinations to systemic algorithmic bias.



Data Sovereignty

Surveillance, privacy, and the human right to data.



The ESG Deficit

Greenwashing, net-zero lies, and accountability.



Bribery & Integrity

Erosion of leadership and legal catastrophes.



Supply Chains

Modern slavery and the hidden cost of production.



The ROI of Integrity

Financial rewards of ethical leadership.

THE MANAGEMENT PARADOX

"Legal compliance is the floor; ethical leadership is the ceiling. In 2026, the gap between the two determines corporate survival."

AI: The Double-Edged Sword

Rapid Innovation

AI tools offer unprecedented efficiency, automation, and predictive capabilities that drive competitive advantage.

- ✓ 24/7 Operational Availability
- ✓ Advanced Pattern Recognition

The Ethical Tension

When "move fast and break things" applies to human data, the result is often a catastrophic breach of trust.

"Can we automate without breaking the social contract?"

AI Hallucinations

Deloitte Case Study

A \$290,000 welfare review commissioned by the Australian Government was found to contain fabricated academic references and invented quotes.

The Root Cause: Undisclosed use of generative AI without rigorous human verification.

Outcome: Full fee refund and severe reputational damage to a premier consulting firm.

Algorithmic Bias in Hiring

Aon's "Black Box" Conflict

Hiring tools marketed as "bias-free" were scrutinized by the ACLU for allegedly discriminating against candidates with disabilities.

- ! Opaque decision-making logic.
- ! Historical data mirroring human bias.

Managerial Lesson: Auditing algorithms is as critical as auditing financials.

 Diversity hiring bias concept

Beyond Legal Compliance

Safe Systems

Proactive risk mitigation and fail-safes in automated decision-making.

Transparency

The right for individuals to know when and why an AI made a choice.

Human Oversight

Ensuring a "human in the loop" for all high-stakes ethical judgments.

"Responsible AI governance is the new competitive advantage."

DATA PRIVACY & SURVEILLANCE

 Digital surveillance eye

The Cost of Privacy Failure

73M
RECORDS EXPOSED

AT&T Data Breach (2024)

A massive breach involving call and text logs of "nearly all" wireless customers led to a consolidated **\$177 Million** settlement.

- ⚠️ Compromised SSNs and DOBs.
- ⚠️ Massive class-action litigation.

Algorithmic Management

ance view

Amazon Warehouse Monitoring

24/7 video and audio monitoring of warehouse staff to maintain peak operational throughput.

The Human Cost: High-pressure environments where automated disciplinary systems flag minor inefficiencies without human empathy.

"Is maximum efficiency worth the erosion of dignity?"

Project "World" Kenya

Biometric Risks

The Kenyan High Court suspended data collection due to privacy violations, citing "consent obtained through inducement" (free tokens).

Digital Colonialism: Extracting sensitive biometric data from vulnerable populations without adequate safeguards.

THE ESG TRUST DEFICIT



 ESG leaf icon

Greenwashing: The Net Zero Lie

JBS Sued by NY Attorney General

The world's largest meat processor made "Net Zero by 2040" pledges while simultaneously planning to increase production.

The Settlement: \$1.1 Million to resolve claims that their advertising was false and misleading.

Key Takeaway: Aspiration is not a substitute for a verifiable plan.

 Greenwashing cattle farm

Sustainable vs. Greenwashing

Case Study	Claim	The Reality / Outcome
JBS Meat	Net Zero by 2040	Increasing production; \$1.1M settlement for false ads.
Coca-Cola	100% Recyclable Bottles	Litigation reinstated over misrepresentation of recyclability.
H&M (Reference)	Sustainable Collection	Class-action lawsuits for misleading "Green" scorecards.

98% of "Big Meat" climate claims are categorized as greenwashing.

Bribery & Governance

The Adani Indictment (2024)

SEC charged Gautam Adani with a \$250 Million bribery scheme to secure solar contracts while misleading US investors.

Systemic Fallout: Criminal fraud and securities violations that wiped billions in market cap in a single week.

Supply Chain Complexity

 Fast fashion factory floor

Modern Slavery & The Global South

The 2024 human consequences report reveals that Boohoo's 2020 scandal human cost was deep, with surface-level reforms masking root causes.

- ✗ Wage theft in Tier-2/3 suppliers.
- ✗ Manipulation of procurement practices.

The "Ethics Premium"

World's Most Ethical (2024)

+12.3% Premium

Global Equity Index

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 Stock market ROI

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"The time is always right to do what is right."

— MARTIN LUTHER KING JR.

A Roadmap for Ethical Management

1. Auditing & Transparency

Move beyond compliance checklists; implement real-time ethical auditing of AI and supply chains.

2. Stakeholder Centricity

Equitable distribution of value between shareholders, employees, and the environment.

3. Algorithmic Integrity

Design AI with failure modes in mind and maintain meaningful human oversight.

4. Radical Honesty

Eliminate greenwashing. Communicate goals as ambitions, not finished pledges.

QUESTIONS?

Feel free to take a look and let us know your thoughts.

 Lighthouse conclusion

"Leading with integrity in a complex world."

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